IN THE NATIONAL COMPANY LAW TRIBUNAL
NEW DELHI BENCH (COURT- IV)

C.A.(CAA)-50/ND/2022

In the matter of Sections 230 - 232 of the Companies Act, 2013 and other applicable provisions of the Companies Act, 2013 read with Companies (Compromises, Arrangements and Amalgamations) Rules, 2016

IN THE MATTER OF AMALGAMATION:

AMONGST

M/S. PARAMOUNT RESTAURANTS PRIVATE LIMITED

... Transferor Company No.1 / Applicant Company No.1

AND

M/S. PREMIER RESTAURANTS PRIVATE LIMITED

... Transferor Company No.2 /Non-Applicant Company

AND

M/S. MUKUND HOSPITALITY PRIVATE LIMITED

... Transferor Company No.3 / Non-Applicant Company

AND

M/S. SNZ CONCEPTS PRIVATE LIMITED

... Transferor Company No.4 /Applicant Company No.2

AND

M/S. PROMEX BRANDS PRIVATE LIMITED

... Transferor Company No.5 / Applicant Company No.3

WITH

M/S. TRIMEX FOODS PRIVATE LIMITED

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... Transferee Company/ Applicant Company No.4

CORAM:

SH. DHARMINDER SINGH, HON'BLE MEMBER, (J)
MS. SUMITA PURKAYASTHA, HON'BLE MEMBER, (T)

Order Pronounced on 02.06.2022

ORDER

PER: SHRI DHARMINDER SINGH, MEMBER (Judicial)

1. Under consideration is the Joint Application No. C.A.(CAA)50/ND/2022 filed under Sections 230 to 232 of the Companies Act, 2013 and other applicable provisions of the Companies Act, 2013 read with Companies (Compromises, Arrangements and Amalgamations) Rules, 2016 in relation to the proposed Scheme of Amalgamation (hereinafter referred to as the "Scheme"). The prayer is made seeking dispensation/directions with respect to the meetings of shareholders, secured creditors and unsecured creditors of the Applicant Companies to consider the proposed Scheme.

2. M/s. Paramount Restaurants Private Limited (hereinafter referred as the **"Transferor Company No.1/Applicant Company No.1"**) having CIN: U55204DL2009PTC195378, a private limited company incorporated on 21.10.2009 registered with Registrar of Companies, Delhi under the erstwhile Companies Act, 1956. The registered office of the Applicant Company No.1 is situated at R-308, Level 3, Ambiance Mall Nelson Mandela Road, Vasant Kunj, New Delhi-110070.

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3. M/s. SNZ Concepts Private Limited (hereinafter referred as the **"Transferor Company No.4/Applicant Company No.2"**) having CIN: U55101DL2012PTC237445, a private limited company incorporated on 13.06.2012 registered with Registrar of Companies, Delhi under the erstwhile Companies Act, 1956. The registered office of the Applicant Company No.2 is situated at B-11/1, Phase II, Okhla Industrial Area, New Delhi- 110020.

4. M/s. Promex Brands Private Limited (hereinafter referred as the **"Transferor Company No.5/Applicant Company No.3"**) having CIN: U74999DL2020PTC374400, a private limited company incorporated on 10.12.2020 registered with Registrar of Companies, Delhi under the Companies Act, 2013. The registered office of the Applicant Company No.3 is situated at B-11/1, Okhla Industrial Area, Phase II, South Delhi, New Delhi- 110020.

5. M/s. Trimex Foods Private Limited (hereinafter referred as the **"Transferee Company/Applicant Company No.4"**) having CIN: U15549DL2019PTC343963, a private limited company incorporated on 10.12.2020 registered with Registrar of Companies, Delhi under the Companies Act, 2013. The registered office of the Applicant Company No.3 is situated at B-11/1, Okhla Industrial Area, Phase II, South Delhi, New Delhi- 110020.

6. The captioned Application has been filled by Transferor Company No.1, Transferor Company No.4, Transferor Company No.5 and Transferee Company

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since the registered office of the Applicant Companies is situated in Delhi and therefore, the jurisdiction lies with this bench. The registered office of Transferor Company No.2 and Transferor Company No.3 **(hereinafter referred to as "Non-Applicant Companies")** are situated in Chandigarh and West Bengal respectively and therefore, outside the jurisdiction of this bench.

7. It is seen from the records that the Board of Director of the Applicant Companies in their respective board meeting held on 07.03.2022, have unanimously approved the proposed Scheme of Amalgamation. The appointed date as specified in the scheme is 01.04.2022 for the purpose of amalgamation of the Transferor Companies and Transferee Company.

8. It is submitted by the Applicant Company that the Amalgamation of the Transferor Companies with the Transferee Company would inter-alia have the following benefits:

a) Optimum and efficient utilization of resources either in the form of assets and sharing of ancillary facilities;
b) Benefit of obtaining synchronisation of synergies;
c) Structured, sharper and better management focussing on holistic growth of the businesses;
d) Rationalizing multiple subsidiaries in the group to ensure optimised legal entity structure, more aligned with the business by reducing the number of legal entities and re-organising the legal entities in the group structure;
e) Significant reduction in the multiplicity of legal and regulatory compliances required at present to be carried out by the Transferor Companies and the Transferee Company;

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f) Concentrated effort and focus by the management to grow the business by eliminating duplicative communication and burdensome coordination efforts across multiple entities;

g) Cost saving by way of reduction of overheads, administrative, managerial, and other expenditure and to bring about operational rationalization and efficiency; and

h) Synchronization of efforts to achieve uniform corporate policy and ease in decision making at the group level of the Transferee Company.

9. It is seen from the records that the Applicant Companies have filed Affidavit in compliance of Section 230 (2) (a) of the Companies Act, 2013 submitting that no prosecution / investigation/ proceeding is pending against the Applicant Company.

10. The Applicant Companies have placed on record certificate from the Statutory Auditor of the Applicant Companies, confirming that the Accounting Standards of the Applicant Companies are in conformity with the provision of Section 133 of the Companies Act, 2013.

11. The Applicant Companies have filed their respective Memorandum of Association (MoA) and Articles of Association (AoA). The Applicant Companies have filed their respective audited financial statement for the financial year ended 31.03.2021 and provisional financial statement as on 30.09.2021.

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12. The position of the equity shareholders, secured creditors and unsecured creditors of Applicant Companies along with their no objection to the proposed scheme through consent affidavits are summarised hereunder:

Companies	**No. of equity shareholders**	**Consent given**	**No. of secured creditors**	**Consent given**	**No. of Unsecured creditors**	**Consent given**
Transferor Company No.1/ Applicant Company No.1	2	100%	Nil	N.A.	(83 in Number) (Rs.6,75,05,783)	(65 in Number) (Rs.6,14,25,290) 90.99%
Transferor Company No.4/ Applicant Company No.2	2	100%	Nil	NA	(46 in Number) (Rs.3,13,68,592)	(5 in Number) (Rs.2,91,20,171) 92.98%
Transferor Company No.5/ Applicant Company No.3	2	100%	Nil	NA	(5 in Number) (Rs.58,10,000)	(5 in Number) (Rs.58,10,000) 100%
Transferee company/ Applicant Company No. 4	3	100%	Nil	Nil	(87 in Number) (Rs.9,62,19,152.07)	(6 in number) (Rs. 9,01,75,077) 90.87%

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13. The Applicant Companies further affirmed that the proposed scheme of Amalgamation will not adversely affects the rights of any of the creditors of the Transferor Companies or the Transferee Company in any manner whatsoever and is not in any way prejudicial to any person. The proposed Scheme of Amalgamation is fair reasonable and is not detrimental to the interest of public.

14. With regard to the Transferor Company No.1/Applicant Company No.1, the Applicant Company No.1 stated as under:

a. The Applicant Company No.1 has 02 (Two) equity shareholders and Nil preference shareholders as per the list of shareholders of the Applicant Company No.1 as on 31.12.2021 and all the equity shareholders holding 100% voting rights of the Applicant Company No.1 have given their written consent to the proposed scheme by way of consent affidavit

b. The Applicant Company No.1 has Nil secured creditors as per the list of secured creditors of the Applicant Company No.1 as on 31.12.2021.

c. The Applicant Company No.1 has 83 (Eighty-Three) unsecured creditors having outstanding amount of Rs.6,75,05,783/- as per the list of shareholders of the Applicant Company No.1 as on 31.12.2021 and out of the total unsecured creditors of the Applicant Company No.1, 65 (Sixty-Five) unsecured creditors of the Applicant Company No.1 holding aggregate outstanding amount of Rs.6,14,25,290/- i.e. 90.99% in value have given their consent by way of consent affidavits.

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d. It would be convenient and expeditious that in view of the consent affidavits received from the equity shareholders and unsecured creditors, holding of the meeting of the equity shareholders and the unsecured creditors may be dispended with. Since the Applicant Company No.1 has no secured creditors, the requirement of convening and holding the meeting of secured creditor does not arise.

15. With regard to the Transferor Company No.4/Applicant Company No.2, the Applicant Company No.2 stated as under:

a. The Applicant Company No.2 has 02 (Two) equity shareholders and Nil preference shareholders as per the list of shareholders of the Applicant Company No.2 as on 31.12.2021 and all the equity shareholders holding 100% voting rights of the Applicant Company No.2 have given their written consent to the proposed scheme by way of consent affidavit

b. The Applicant Company No.2 has Nil secured creditors as per the list of secured creditors of the Applicant Company No.2 as on 31.12.2021.

c. The Applicant Company No.2 has 46 (Forty-Six) unsecured creditors having outstanding amount of Rs.3,13,68,592/- as per the list of shareholders of the Applicant Company No.2 as on 31.12.2021 and out of the total unsecured creditors of the Applicant Company No.2, 05 (Five) unsecured creditors of the Applicant Company No.2 holding aggregate outstanding amount of Rs.2,91,20,71/- i.e., 92.83% in value have given their consent by way of consent affidavits.

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d. It would be convenient and expeditious that in view of the consent affidavits received from the equity shareholders and unsecured creditors, holding of the meeting of the equity shareholders and the unsecured creditors may be dispended with. Since the Applicant Company No.2 has no secured creditors, the requirement of convening and holding the meeting of secured creditor does not arise.

16. With regard to the Transferor Company No.5/Applicant Company No.3, the Applicant Company No.3 stated as under:

a. The Applicant Company No.3 has 02 (Two) equity shareholders and Nil preference shareholders as per the list of shareholders of the Applicant Company No.3 as on 31.12.2021 and all the equity shareholders holding 100% voting rights of the Applicant Company No.3 have given their written consent to the proposed scheme by way of consent affidavits.

b. The Applicant Company No.3 has Nil secured creditors as per the list of secured creditors of the Applicant Company No.3 as on 31.12.2021.

c. The Applicant Company No.3 has 05 (Five) unsecured creditors having outstanding amount of Rs.58,10,000/- as per the list of shareholders of the Applicant Company No.3 as on 31.12.2021 and all the 05 (Five) unsecured creditors of the Applicant Company No.3 holding aggregate outstanding amount of Rs.58,10,000/- i.e., 100% in value have given their consent by way of consent affidavits.

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d. It would be convenient and expeditious that in view of the consent affidavits received from the equity shareholders and unsecured creditors, holding of the meeting of the equity shareholders and the unsecured creditors may be dispended with. Since the Applicant Company No.3 has no secured creditors, the requirement of convening and holding the meeting of secured creditor does not arise.

17. With regard to the Transferee Company/Applicant Company No.4, the Applicant Company No.4 stated as under:

a. The Applicant Company No.4 has 03 (Three) equity shareholders and Nil preference shareholders as per the list of shareholders of the Applicant Company No.4 as on 31.12.2021 and all the equity shareholders holding 100% voting rights of the Applicant Company No.4 have given their written consent to the proposed scheme by way of consent affidavits.

b. The Applicant Company No.4 has Nil secured creditors as per the list of secured creditors of the Applicant Company No.4 as on 31.12.2021.

c. The Applicant Company No.4 has 87 (Eighty- Seven) unsecured creditors having outstanding amount of Rs.9,62,19,152.07/- as per the list of shareholders of the Applicant Company No.4 as on 31.12.2021 and out of the total unsecured creditors of the Applicant Company No.4, 06 (Six) unsecured creditors of the Applicant Company No.4 holding aggregate outstanding amount of Rs.9,01,75,077/- i.e., 93.71% in value have given their consent by way of consent affidavits.

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d. It would be convenient and expeditious that in view of the consent affidavits received from the equity shareholders and unsecured creditors, holding of the meeting of the equity shareholders and the unsecured creditors may be dispended with. Since the Applicant Company No.4 has no secured creditors, the requirement of convening and holding the meeting of secured creditor does not arise.

18. Taking into consideration the submissions and the documents placed on record, we propose to issue the following directions with respect to convening/holding or dispensing with the meetings of the Shareholders, Secured Creditors and Unsecured Creditors of the respective Applicant Companies as well as issue of notices to the concerned statutory authorities as follows:

A. In relation to the Applicant Company No.1

a. With respect to the Equity Shareholders:

In view of the consent affidavits received from all the 02 (Two) equity shareholders of the Applicant Company No.1, holding 100% voting shares, convening the meeting of the equity shareholders of the Applicant Company No.1 is hereby dispensed with.

b. With respect to the Secured Creditors:

There are no secured creditors, hence the requirement of convening the meeting of the Secured Creditors of the Applicant Company No.1 does not arise.

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c. With respect to the Unsecured Creditors:

In view of the consent Affidavits received from 65 (Sixty-Five) unsecured creditors of the Applicant Company-1 holding aggregate outstanding amount of Rs.6,14,25,290/- i.e., 90.99% in value, convening the meeting of the unsecured creditors of the Applicant Company No.1 is hereby dispensed with.

B. In relation to the Applicant Company No.2

a. With respect to the Equity Shareholders:

In view of the consent affidavits received from all the 02 (Two) equity shareholders of the Applicant Company No.2, holding 100% voting shares, convening the meeting of the equity shareholders of the Applicant Company No.2 is hereby dispensed with.

b. With respect to the Secured Creditors:

There are no secured creditors, hence the requirement of convening the meeting of the Secured Creditors of the Applicant Company No.2 does not arise.

c. With respect to the Unsecured Creditors:

In view of the consent Affidavits received from 05 (Five) unsecured creditors of the Applicant Company No.2 holding aggregate outstanding amount of Rs. 2,91,20,171/- i.e., 92.83% in value, convening the meeting of the unsecured creditors of the Applicant Company No.2 is hereby dispensed with.

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C. In relation to the Applicant Company No.3

a. With respect to the Equity Shareholders:

In view of the consent affidavits received from all the 02 (Two) equity shareholders of the Applicant Company No.3, holding 100% voting shares, convening the meeting of the equity shareholders of the Applicant Company No.3 is hereby dispensed with.

b. With respect to the Secured Creditors:

There are no secured creditors, hence the requirement of convening the meeting of the Secured Creditors of the Applicant Company No.3 does not arise.

c. With respect to the Unsecured Creditors:

In view of the consent Affidavits received from 05 (Five) unsecured creditors of the Applicant Company No.3 holding aggregate outstanding amount of Rs. 58,10,000/- i.e., 100% in value, convening the meeting of the unsecured creditors of the Applicant Company No.3 is hereby dispensed with.

D. In relation to the Applicant Company No.4

a. With respect to the Equity Shareholders:

In view of the consent affidavits received from all the 03 (Three) equity shareholders of the Applicant Company No.4, holding 100% voting shares, convening the meeting of the equity shareholders of the Applicant Company No.4 is hereby dispensed with.

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b. With respect to the Secured Creditors:

There are no secured creditors, hence the requirement of convening the meeting of the Secured Creditors of the Applicant Company No.4 does not arise.

c. With respect to the Unsecured Creditors:

In view of the consent Affidavits received from 06 (Six) unsecured creditors of the Applicant Company No.4 holding aggregate outstanding amount of Rs. 9,01,75,077/- i.e., 100% in value, convening the meeting of the unsecured creditors of the Applicant Company No.4 is hereby dispensed with.

E. The Applicant Companies shall serve the notices of the proposed scheme of amalgamation along with copy of required documents and disclosures required under the provisions of the Companies Act,2013 upon: (i) the Central Government through the office of the Regional Director (Northern Region), Ministry of Corporate Affairs, Delhi (ii) the Registrar of Companies, NCT of Delhi and Haryana (iii) concerned income tax authorities within whose jurisdiction the respective Applicant Companies assessment are made (iv) any sectoral regulator who may have bearing on the operation of the Applicant Companies, pursuant to section 230(5) of the Companies Act, 2013 read with rule 8 of the Companies (Compromises, Arrangements and Amalgamations Rules) 2016. Further the Applicant Company-1, Applicant Company-2 and

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Applicant Company-3 are directed to serve the notices of the proposed scheme of amalgamation along with copy of required documents and disclosures required under the provisions of the Companies Act,2013 and rules made thereunder upon the Official Liquidator, Lok Nayak Bhavan, 8th Floor, Khan Market, New Delhi-11001 pursuant to section 230(5) of the Companies Act, 2013 read with rule 8 of the Companies (Compromises, Arrangements and Amalgamations Rules), 2016.

19. All the aforesaid directions are to be complied with, strictly in accordance with the applicable law, including forms and formats contained in the Companies Act, 2013 as well as in Companies (Compromises, Arrangements and Amalgamations Rules), 2016.

20. The Captioned Application C.A.(CAA)50/ND/2022 is allowed in aforesaid terms.

21. Let the copy of the order be served to the parties.

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(SUMITA PURKAYASTHA)
MEMBER (T)

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(DHARMINDER SINGH)
MEMBER (J)